

Mauboussin concluded,

Shorter asset lives suggest shorter time horizons over which managers should invest, a reasonable reflection of the business world.

Executives of many technology companies, for example, can't plan for decades in the way a utility company can because the rate of change is simply too fast.

So, 35 years is probably too long a horizon to plan over. This creates some tension with the 100-bagger idea. There is a tension between holding on and the potentially destructive effect of time. Nothing lasts forever.

We'll look at what kinds of companies to focus on in the next chapter.

But we're not yet done exploring the coffee-can idea.

The Biggest Hurdle to Making 100 Times Your Money

The reason I spend a lot of time here at the beginning showing you the power of long-term investing is because it's really important. The biggest hurdle to making 100 times your money in a stock — or even just tripling it — may be the ability to stomach the ups and downs and hold on.

The coffee-can is a foolproof way to inoculate yourself against those sickening ups and downs.

And I'm sure you've seen some big moves in the overall market in your time. The urge to grab a quick gain or let go of a "loser" is strong. We're like the little kids in those famous experiments who can't resist eating the marshmallow in front of them even when promised two if they wait five minutes.

Even the best investors have their share of stories of when they couldn't wait. One of the best is from Warren Buffett. A reader and friend of mine sent me the following example, from Buffett's 1995 letter to Berkshire Hathaway shareholders: